

Quoxmark Personnel Network, LLC

MEMORANDUM

To	Audit file
From	Mary Quovane, Controller
Date	01/30/2026
Re	Allowance for credit losses under ASC 326 - 12/31/2025

1. SCOPE AND POOLING

This memo documents management's estimate of expected credit losses on customer staffing-service receivables as of 12/31/2025. Receivables share similar risk characteristics within aging bands, so the portfolio is pooled by days past due: current, 1-30, 31-60, 61-90, over-90. Balances are aged from the due date.

2. METHODOLOGY

Expected loss rates are applied to each pool's open exposure. The rates reflect the collection history of each aging band, with older receivables carrying progressively higher expected loss content, and are reviewed annually against subsequent collections, write-offs, and recoveries retained by aging cohort. The prior-year reserve and sensitivity columns below are the annual back-test controls. Receivables with known collection risk carry a specific reserve in place of the pool rate; none were identified this year.

3. LOSS-RATE SUPPORT AS OF 12/31/2025

Aging pool	Exposure	Loss rate	Prior reserve	Reserve	Sensitivity
current	42,820.00	0.00%	0.00	0.00	428.20
1-30	17,845.00	5.00%	3,521.31	892.25	178.45
31-60	7,137.50	20.00%	5,633.70	1,427.50	71.38
61-90	2,240.00	50.00%	4,420.14	1,120.00	22.40
over-90	20,149.50	100.00%	79,521.07	20,149.50	201.50
Total	90,192.00			23,589.25	

Historical cohort calculation retained for the annual back-test:

The supporting allowance workbook retains 15 annual exposure-cohort rows and 24 customer/invoice-level write-off and recovery events, including dates, approval references, and source-ledger references. The table below is their pool-level reconciliation.

Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
current	2022-01-01 through 2024-12-31	1,500,000.00	0.00	0.00	0.00	0.00%
1-30	2022-01-01 through 2024-12-31	1,500,000.00	93,750.00	18,750.00	75,000.00	5.00%

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Pool	Lookback	Exposure	Write-offs	Recoveries	Net loss	Rate
31-60	2022-01-01 through 2024-12-31	1,500,000.00	375,000.00	75,000.00	300,000.00	20.00%
61-90	2022-01-01 through 2024-12-31	1,500,000.00	937,500.00	187,500.00	750,000.00	50.00%
over-90	2022-01-01 through 2024-12-31	1,500,000.00	1,875,000.00	375,000.00	1,500,000.00	100.00%

Independent direct-source reperformance:

Pool	Direct source	Exposure	Recomputed	Recorded	Difference	Result
current	Confirmation reference History Ledger 2025 001; Confirmation reference Specific Risk 2025 001; Confirmation reference Economic Overlay 2025	42,820.00	0.00	0.00	0.00	passed
1-30	Confirmation reference History Ledger 2025 002; Confirmation reference Specific Risk 2025 002; Confirmation reference Economic Overlay 2025	17,845.00	892.25	892.25	0.00	passed
31-60	Confirmation reference History Ledger 2025 003; Confirmation reference Specific Risk 2025 003; Confirmation reference Economic Overlay 2025	7,137.50	1,427.50	1,427.50	0.00	passed
61-90	Confirmation reference History Ledger 2025 004; Confirmation reference Specific Risk 2025 004; Confirmation reference Economic Overlay 2025	2,240.00	1,120.00	1,120.00	0.00	passed
over-90	Confirmation reference History Ledger 2025 005; Confirmation reference Specific Risk 2025 005; Confirmation reference Economic Overlay 2025	20,149.50	20,149.50	20,149.50	0.00	passed

4. FORWARD-LOOKING CONSIDERATIONS

Current-year conditions did not require a qualitative overlay for 2025: customer concentration, assignment demand, collection cadence, and labor- market conditions affecting the customer staffing-service receivables base are consistent with the historical period underlying the pool rates, so no adjustment to the historical loss rates was recorded.

5. CONCLUSION

The recorded allowance equals the pool-level estimate above and is reassessed at each reporting date.

Recorded allowance	23,589.25
Judgmental sensitivity (not a known misstatement)	901.93
Known best-estimate difference	0.00

6. SUBSEQUENT-COLLECTION AND SPECIFIC-RISK REVIEW

The following invoice-level back-test matches cash applications through 02/17/2026 to the year-end aging and documents the specific-risk conclusion for each remaining open item.

Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-61006	current	2,175.00	2,175.00	0.00	Collected after year end; no specific reserve
INV-61008	current	2,125.00	2,125.00	0.00	Collected after year end; no specific reserve
INV-61007	current	2,940.00	2,940.00	0.00	Collected after year end; no specific reserve
INV-61002	current	2,227.50	2,227.50	0.00	Collected after year end; no specific reserve
INV-61003	current	2,385.00	2,385.00	0.00	Collected after year end; no specific reserve
INV-61009	current	2,600.00	2,600.00	0.00	Collected after year end; no specific reserve
INV-60998	current	2,240.00	0.00	2,240.00	Covered by aging-pool reserve; no specific-loss indicator
INV-61010	current	2,550.00	2,550.00	0.00	Collected after year end; no specific reserve
INV-60999	current	2,175.00	2,175.00	0.00	Collected after year end; no specific reserve
INV-60907	current	2,730.00	2,730.00	0.00	Collected after year end; no specific reserve
INV-61020	current	2,260.00	2,260.00	0.00	Collected after year end; no specific reserve
INV-60906	current	2,355.00	2,355.00	0.00	Collected after year end; no specific reserve
INV-61022	current	2,625.00	2,625.00	0.00	Collected after year end; no specific reserve
INV-61016	current	2,137.50	0.00	2,137.50	Covered by aging-pool reserve; no specific-loss indicator
INV-61005	current	2,350.00	2,350.00	0.00	Collected after year end; no specific reserve
INV-61019	current	2,310.00	2,310.00	0.00	Collected after year end; no specific reserve
INV-61013	current	4,635.00	4,635.00	0.00	Collected after year end; no specific reserve
INV-60901	1-30	2,725.00	0.00	2,725.00	Covered by aging-pool reserve; no specific-loss indicator
INV-60913	1-30	2,160.00	0.00	2,160.00	Covered by aging-pool reserve; no specific-loss indicator
INV-60910	1-30	2,865.00	2,865.00	0.00	Collected after year end; no specific reserve
INV-60903	1-30	2,135.00	2,135.00	0.00	Collected after year end; no specific reserve

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Invoice	Pool	Exposure	Receipts	Uncollected	Conclusion
INV-60973	1-30	2,287.50	2,287.50	0.00	Collected after year end; no specific reserve
INV-60854	1-30	2,697.50	0.00	2,697.50	Covered by aging-pool reserve; no specific-loss indicator
INV-60971	1-30	2,975.00	2,975.00	0.00	Collected after year end; no specific reserve
INV-60858	31-60	2,150.00	2,150.00	0.00	Collected after year end; no specific reserve
INV-60855	31-60	2,425.00	0.00	2,425.00	Covered by aging-pool reserve; no specific-loss indicator
INV-60851	31-60	2,562.50	0.00	2,562.50	Covered by aging-pool reserve; no specific-loss indicator
INV-60804	61-90	2,140.00	0.00	2,140.00	Covered by aging-pool reserve; no specific-loss indicator
INV-60857	61-90	100.00	100.00	0.00	Collected after year end; no specific reserve
INV-60656	over-90	1,332.50	1,332.50	0.00	Collected after year end; no specific reserve
INV-60405	over-90	5,428.00	0.00	5,428.00	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator
INV-60438	over-90	4,260.00	0.00	4,260.00	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator
INV-60406	over-90	5,025.00	0.00	5,025.00	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator
INV-60431	over-90	4,104.00	0.00	4,104.00	Open-item aging and sponsor payment history reviewed; pool reserve retained, with no additional specific-loss indicator

M. Quovane